

Liquidity Buffer Increase

Problem

Treasury observes increasing settlement delays and uncertainty in short-term cash flows.

Regulatory Requirements

Basel III, Liquidity Coverage Ratio (LCR).

Options Considered

A: Keep current buffer. B: Increase buffer temporarily.

Decision

Increase liquidity buffer by 15%.

Reasoning

Protect against potential liquidity shortfalls.

Risks

Opportunity cost, reduced capital efficiency.